

Rather than cherry-picking the most egregious quotes, let's jump to the opening paragraph:

Suppose you were stranded on a deserted island and could own just one single stock. What would it be? Think about it for a minute. Would it be a stock that's been battered this spring and is down 20% from its high? A stock that trades at more than 100 times earnings? A stock that's already climbed around 100,000% since going public ten years ago, that's already enjoyed one of the greatest rides in stock market history? The stock of a company that now faces unprecedented challenges in tough new markets dominated by the likes of Lucent and Nortel, plus a posse of red-hot upstarts?

Yup, that would be the stock. *No matter how you cut it, you've got to own Cisco.* (emphasis added)

I cannot recall a magazine story more accurate in its assessment of a manager—Chambers really was a good CEO—and less accurate about the prospects for his company's stock.

At the time, Cisco was one of the most successful companies on earth. The 1990s had been good to the company, whose routers were getting snapped up by internet providers and telecoms. By the time this landed on the cover of *Fortune* on May 15, 2000, the price of Cisco was making all-time highs—and it was predicted to be the first trillion-dollar firm in history.

Only, not so much.

Cisco had *already peaked* on March 27, 2000—less than two months before the story was published. Ever since, it has been one of the poorest performers on the Nasdaq. By the time the Nasdaq bottomed in October 2002, Cisco had plummeted 89.3% from its all-time highs. It didn't quite get to a trillion either, peaking a little more than halfway there, at \$556.74bn.